

If you are worried that a used car is less reliable, you can look for one that is **certified pre-owned**, which usually means it is less than three years old, has low mileage, and has no history of major damage. Additionally, certified pre-owned cars are backed by warranties to cover the cost of routine maintenance, as well as many (but not all) problems should they occur. This option gives you the peace of mind that comes with a new car, but at the price of a used car.

Buying a used car does require a bit more research. One thing you will definitely want to check is the **vehicle history report**, which provides the ownership and accident history, mileage, title status (who currently owns it), and more. You can find a vehicle's history report at www.carfax.com. In addition to the vehicle history report, you should have a mechanic—ideally one you know and trust—look at a used car before you buy it. A mechanic will look for things that may not be on the report but could be cause for concern.

While leasing a car is another option, I would strictly advise against it. Car dealerships make more money from leasing cars to people than from selling or financing. A lease asks you to rent a car at a price that is even higher than its depreciation rate.⁶⁶ Don't do it.

The Car-Buying Process

Online research is the first thing you should do when you are thinking of buying a car. Do not set foot in a car dealership until you have prices and knowledge of the specific car you

66 "Explain How a Car Lease Works," DaveRamsey.com, accessed November 21, 2020, <https://www.daveramsey.com/askdave/other/10367>.